

Japan Daily Brief

Thursday, October 1, 2026

1,874 words · 7 min read

RE: BOJ hawkish shift · Residency fee hike takes effect · AI data center push · GSDF chief Seoul visit · China nuclear pressure

NIKKEI 225

68,956.72

▲ +3.91%

USD/JPY

158.12

▼ -0.44%

BRENT

\$99.71

▼ -5.29%

BOJ RATE

1.25%

• TOP STORIES

POLITICS-DIET

Japan Raises Residency Fees 2,000 Percent Amid ‘Anxiety’ Over Foreigners

Japan raised its permanent residency application fee approximately 20 times and enforced tightened eligibility criteria effective October 1, with Prime Minister **Sanae Takaichi** framing the changes as management of the foreign population. Critics quoted by the NYT say the measures hurt Japan's capacity to address chronic labor shortages.

NYT

ECONOMY-BOJ

BoJ's summary of opinions points to accelerated pace of rate rises

The BOJ's published summary of opinions from the September 17-18 Monetary Policy Meeting showed most rate-setters saw the case for further hikes, with some arguing tightening should proceed faster; Reuters separately confirmed the government pushed back during deliberations. The yen weakened on release of the summary as markets reassessed the probability of a back-to-back hike.

FT

CHINA-JAPAN

Japanese companies exit China in record numbers

The FT reports Japanese companies are departing China in record numbers, driven by diplomatic tensions, slowing Chinese economic growth, and US tariff pressure. The trend accelerates a supply-chain rebalancing that has been underway since at least 2020 and has direct implications for Japanese corporate earnings and trade flows.

FT

KOREA-JAPAN

Ground Self-Defense Force chief makes first visit to South Korea in 17 years

General **Masayoshi Arai**, chief of the Ground Self-Defense Force, is in Seoul for a two-day visit — the first by a GSDF chief in 17 years — where he met with Kim Gyu-ha, chief of staff of the South Korean Army. The visit

follows sustained Japan-ROK defense engagement over the past year and comes days ahead of the extra Diet session.

THE JAPAN TIMES

TECHNOLOGY

Japan's largest power producer teams with Dell on \$15bn data center

Japan's largest power producer JERA is partnering with Dell Technologies on a planned *400-megawatt* data center near Tokyo — among Asia's largest outside China — in a *\$15 billion* project that will also receive financing support from Apollo Global Management. The FT reports Japan is simultaneously mapping a broader *\$140 billion* national AI data center push.

NIKKEI ASIA

ECONOMY-BOJ

BOJ Tankan shows sixth straight rise in manufacturer sentiment

The BOJ's September Tankan survey showed large-manufacturer sentiment rising for the sixth straight quarter to its highest level since 2018, with the headline DI reading at 5. Reuters noted the result was mixed across sectors, taking some immediate pressure off the BOJ for an October rate hike even as the meeting summary signals a longer-term hawkish tilt.

NIKKEI ASIA

• STAT OF THE DAY

2,000%

Japan permanent residency fee increase taking effect today

Japan's immigration agency revised its guidelines effective October 1, with the permanent residency application fee rising approximately 20 times, alongside tightened eligibility criteria.

Japan raises permanent residency fee by 20 times — BBC

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · THURSDAY, OCTOBER 1, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi's draft policy address for the October 5 extra Diet session was reported today, reaffirming the five-year growth investment plan and pledging a nimble FX response — constituting a substantive public policy statement.

日本銀行 · BANK OF JAPAN

September MPM summary signals accelerated rate-hike path; government pushed back during deliberations

The BOJ's published summary of opinions from the September 17-18 Monetary Policy Meeting showed most board members saw the case for further rate increases, with some calling for a faster pace if inflation quickens. Reuters and the Japan Times separately report that the government pushed back against the faster-hike arguments during the meeting.

→ [The Japan Times ↗](#)

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM releases draft policy speech for October 5 extra Diet session, vowing growth strategy and yen stability

Prime Minister **Sanae Takaichi**'s draft policy address for the upcoming extra Diet session commits the administration to drawing up a five-year growth strategy plan for domestic investment and pledges a nimble response to unexpected market moves, including vowing to underpin the yen through boosting economic competitiveness rather than direct FX intervention.

→ [The Japan Times ↗](#)

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Preemptive cybersecurity law enters into force

Chief Cabinet Secretary **Minoru Kihara**'s October 1 morning press conference addressed the enforcement of Japan's new preemptive cybersecurity legislation, which took effect today amid what the government describes as rising cyber threats.

→ [Mainichi ↗](#)

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Parliamentary Vice-Minister for Foreign Affairs Ozora*

Parliamentary Vice-Minister Ozora attends 9th Japan-Canada Chambers Council joint meeting

Parliamentary Vice-Minister for Foreign Affairs Ozora attended the 9th Japan Canada Chambers Council joint meeting, continuing bilateral business-diplomacy engagement with Canada.

→ [MOFA ↗](#)

PERSONNEL CHANGES

Mitsunari Okamoto **NOMINATED**

Komeito Party Leader

Mitsunari Okamoto, a former deputy finance minister with an MBA from the Kellogg School of Management, is set to formally accept the Komeito leadership on Saturday October 3. He faces an immediate test managing the coalition through the autumn Diet session and upcoming electoral contests.

DIET SESSIONS / LDP

DIET (EXTRAORDINARY SESSION)

Constitutional revision debate flagged as key agenda item for autumn session

Asahi reports that constitutional revision will be a focal point of the upcoming extraordinary Diet session, with PM Takaichi pressing toward her stated goal, though divisions remain within the ruling coalition on the pace and scope of any revision.

KOMEITO

New Komeito leader Mitsunari Okamoto set to formally accept post Saturday ahead of autumn Diet session

Mitsunari Okamoto, a former deputy finance minister with an MBA from the Kellogg School of Management, is due to formally accept the Komeito leadership on Saturday, immediately facing the autumn Diet session and upcoming electoral tests as his first challenges.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
Asahi · Sep 28, 2026	51%	33%
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%
Nikkei · Sep 5, 2026 · 26d ago	62%	33%
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026 · 24d ago	62.5%	34.9%

Discourse: The 2,000 percent residency fee hike taking effect today, combined with tightened permanent residency guidelines, is generating domestic pushback from labor and civil society groups warning of xenophobia — a potential friction point for the Takaichi government heading into the autumn Diet session.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

MACRO · BLOOMBERG

Japan to map out first five years of Takaichi investment plan

The Takaichi administration plans to release the first five-year roadmap for its domestic growth investment strategy as part of the PM's policy speech at the October 5 extraordinary Diet session. The plan outlines a path for domestic investment under the \$550 billion US-Japan strategic investment framework.

MACRO · NIKKEI ASIA

Japan inflation wave raises prices on 3,000 food and drink items

A new wave of food and beverage price increases covering 3,000 items hit Japanese consumers, extending the inflation dynamic that has been a central driver of BOJ policy deliberations through 2026.

MANUFACTURING · NIKKEI ASIA · MITSUBISHI HEAVY INDUSTRIES

Mitsubishi Heavy Industries plans \$640 million commercial shipyard expansion

Mitsubishi Heavy Industries is planning a \$640 million expansion of its commercial shipyard capacity, a move that carries dual-use significance given Japan's concurrent naval buildup and defense-industrial base expansion.

REGIONAL PRESSURE WATCH

Normal — 12 items

CHINA

Chinese state media (CGTN, Global Times) and the Foreign Ministry continued a coordinated pressure campaign urging Japan to honor NPT obligations and abandon what Beijing frames as nuclear ambitions, while also pressing Tokyo to 'seriously reflect on and correct wrongdoings.' China's Foreign Ministry Spokesperson Guo Jiakun stated Japan has 'no room for bargaining over nuclear obligations.' Separately, Dalian cancelled a Japan goods expo citing chilled bilateral ties, and Japan has dropped out of China's top-10 overseas holiday destinations.

NORTH KOREA

North Korea fired several ballistic missiles as the APEC Summit approaches, per TOLONews citing KCNA-Xinhua. The launches continue Pyongyang's pattern of missile activity timed to multilateral diplomatic events and sustain the pressure campaign against Japan's defense buildup documented over the past week.

Senkaku / ECS: No new Senkaku or East China Sea incident data appears in today's articles; the pattern of sustained Chinese Coast Guard presence in the contiguous zone, last confirmed September 27, continues as baseline.

"Japan has no room for bargaining over nuclear obligations"

Chinese Foreign Ministry (CGTN) · China-Japan Relations: Chinese Foreign Ministry: Japan has no room for bargaining over nuclear obligations

"Japan should be urged to abide by Three Non-Nuclear Principles"

Chinese Foreign Ministry Spokesperson (Xinhua) · Japan should be urged to abide by Three Non-Nuclear Principles: Chinese spokesperson-Xinhua

Bottom line: China's nuclear pressure campaign against Japan escalated into a coordinated multi-platform messaging blitz today — CGTN, Global Times, Foreign Ministry — framing Tokyo as a proliferation risk with 'no room to bargain.' North Korea's ballistic missile launches ahead of APEC are the kinetic signal to track alongside Beijing's rhetorical one.

• U.S.-JAPAN RELATIONS

ALLIANCE · THE DIPLOMAT

Japan faces Gulf energy security dilemma with precedent in 1987 Persian Gulf crisis

The Diplomat draws a direct comparison between Japan's current Gulf energy security challenge and the 1987 Persian Gulf tanker crisis, when Tokyo faced equivalent dilemmas over sea-lane protection and US alliance obligations. The article is analytical context for Japan's ongoing energy-security posture discussions within the alliance.

• INDO-PACIFIC PARTNERS

QUAD · THE JAPAN TIMES

Japan and Germany sign evacuation cooperation memorandum; Germany becomes sixth partner country

Japan and Germany signed a memorandum on evacuation cooperation for third-country emergencies, with Germany joining South Korea, Australia, Canada, Britain, and Brazil in a network Japan has been building since 2024.

SOUTHEAST ASIA · NIKKEI ASIA

Japan drops out of Chinese travelers' top 10 destinations during Golden Week holiday amid bilateral tensions

China's week-long National Day holiday is generating less traffic to Japan than prior years, with Japan falling outside the top 10 overseas destinations for Chinese travelers as diplomatic tensions and the Dalian goods-expo cancellation reflect chilled bilateral sentiment.

SOUTHEAST ASIA · MAINICHI

Japanese business leaders' delegation eyes Beijing visit in March 2027

A delegation headed by leaders from Japan's major business organizations is considering a visit to Beijing in March 2027, sources told Kyodo, signaling a business-track effort to stabilize Japan-China economic relations even as diplomatic tensions persist.

• SOCIAL STATEMENTS



BOJ Policy Board member (unattributed in source)

Bank of Japan Policy Board · Mainichi · Oct 1

"accelerate the pace of rate hikes"

Analyst: A BOJ policymaker cited the need to accelerate rate hikes if signs of quickening inflation emerge, per Kyodo via Mainichi; the September MPM summary confirms this was debated during the September 17-18 meeting.

Source →

• UPCOMING

Oct
2

Fukushima Daiichi third debris-extraction trial using robotic arm

TEPCO is due to insert a robotic arm for the third trial extraction of fuel debris at the Fukushima Daiichi reactor on October 2, a milestone in the decommissioning program.

Oct
5

Extra Diet session opens — PM Takaichi delivers policy address

The 69-day extraordinary Diet session opens Monday. PM Takaichi's policy speech will unveil the five-year growth investment roadmap; constitutional revision debate and intelligence reform legislation are flagged as key agenda items.

Oct
5

Komeito leader Okamoto formally accepts post Saturday ahead of Diet opening

Mitsunari Okamoto formally accepts the Komeito leadership Saturday, October 3, immediately entering coalition management for the Diet session.

Oct
6

BOJ next Monetary Policy Meeting — timing to be verified

Following the hawkish September MPM summary and government pushback, the next BOJ policy meeting is the key decision point for whether the board moves to an additional rate hike in 2026; exact date to be verified from BOJ calendar.

Mar
1

Japan business leaders' delegation considering Beijing visit (March 2027)

Leaders from Japan's major business organizations are considering a March 2027 trip to Beijing — a business-track confidence-building measure that will be watched against the backdrop of sustained diplomatic tensions.

CSIS Japan Chair

JAPAN DAILY BRIEF

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